



IS1110 Business Foundation

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Who wants to be a millionaire?

What are your beliefs around money and being rich?

The best charity of all is having a business:
provide employment, do charity

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What makes a business?

A paying customer - for a lemonade

Mission Statement? Owning a business? A product?

A market analysis? A business plan?

**Start from the customer, reverse to create the business
- Until such time, it is just an idea**

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Confused???

- | | |
|--|--|
| <ul style="list-style-type: none"> ■ Business ■ Venture ■ Entrepreneurship ■ Startups ■ Companies | <p>Entrepreneurship</p> <ol style="list-style-type: none"> 1. SME - Serves local needs <ul style="list-style-type: none"> ◦ Operate small ◦ Need for economic stability ◦ Survival is ensured in terms of cash flow 2. Innovation driven enterprises <ul style="list-style-type: none"> ◦ Serves global/ regional markets ◦ Initial cash flow is negative, then takes up if the innovation is taken well |
|--|--|

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Subtopic Coverage

- 1.1 Interconnections between business studies and other subjects to come
- 1.2 Defining a business
 - Perspectives
 - Dimensions of meaning of a business
 - A business as a system
 - Business: Is it a Game or a Co-operation/Co- existence – Systems perspective
- 1.3 Evolution of business
- 1.4 Business vs organization anatomy (self-learning)

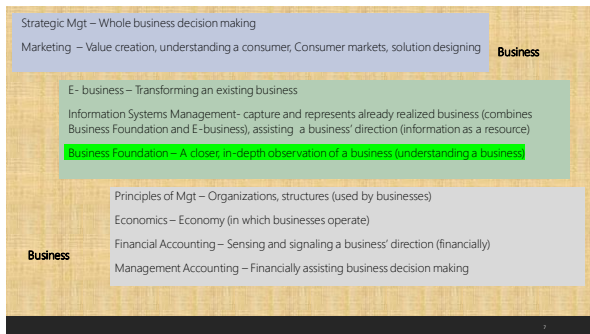
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Business Foundation

Relation to other subjects

Principles of Mgt
Industry Reconnaissance and Engagement
Economics
Financial Accounting
Consumer Solutions
Information Systems
Strategic Mgt
Law and Taxation
Product management
Entrepreneurship

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What should be the starting point of a business?

1. Produce what you are good at producing
2. Identify unsatisfied needs of consumers and produce it
3. Create needs within consumers and produce it
4. Create something to change the world
5.
6.

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In- class Activity

- How do you define a business?
- Highlight the most important characteristics/words you used to define a business.
- Select any industry of your choice (preferably from the tech industry) and pick a successful company in the selected industry.
List down the features/success elements of the business (why do you say it is a successful company?)
- Compare your definition of the business and the success elements of the business you selected.
 - Will your definition of a business given above be still applicable to this successful company?
 - What changes you observe?
 - If you are to change your previous definition, what will be your new definition of a successful business?
- **Given the economic downturns and tech advancements of the world how would you like to re-arrange the new definition for business? Will there be any change?**

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"A" is for 

What is a business – a way/mechanism of expressing yourself

Why do you want to start a business (motive) – making more money may not create a sustainable businesses

How to start- start from customer experience and work backward to technology (reverse engineering). Where can we take our customer (what benefits they get from us)

What to do- start small, focus on few things you are good at

How to continue a business- hire right people who are excited and passionate about what they do

How to plan- 3-4 years plans as things change fast in the industry

How to perceive competition- if they imitate you, you had set the trend and contributing to industry growth

Lessons from Apple

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Introducing Business

What a business is all about?

Mechanism to make more money?
Mechanism to satisfy customer needs?

Or

"A mechanism to express your ideas"

"Business decisions are all about saying NO to many things and focus on few little things and master in it"

"Excitement at individual employee level will always produce great results, thus having right people is important"

Steve Jobs

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Where is the starting point of a business?

Technically produce what you are good at and try selling
Vs

Perceive what end consumer feels and do "reverse engineering"

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A Business has three dimensions of meaning:

- A commerce - Business as a commerce is the process that people produce, exchange and trade goods and services
- An occupation - Business as an occupation is the acquired set of specialized skills and abilities that allows people to create valuable goods and services
- An organization - Business as an organization is the system of task and authority relationship that coordinates and controls the interactions between people so that they work toward a common goal (profits)

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Several perspectives are there

1. An economic activity with the objective of profit ~~or non-profit~~
2. A function that provides goods and services to satisfy human needs
3. A mechanism to absorb a portion of wealth from an economy
4. A way of expressing your passion to solve a problem or correct a wrong thing



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Business as a System

➤ Business as a system is a combination of business, commerce, occupations, and organizations that produce and distribute the goods and services that create value for people in a society

➤ Create value: In order to create value, a business need **sensors, facilitators and generators**

➤ **Sensors:** Accounting system, Information systems, etc.

➤ **Facilitators:** Distribution channels; Supply chain

➤ **Generators:** Understanding end-consumer (consumer behavior)

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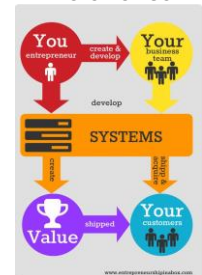
Business Anatomy

The Anatomy of a Great Business With High Business Potential Energy

<https://www.entrepreneurshipinabox.com/8632/the-anatomy-of-a-great-business/>



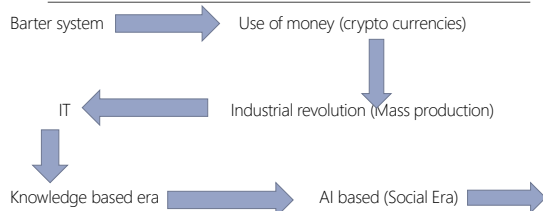
Find and learn



Evolution/History of Business

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Evolution of Business



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The Game of the Business

There is no rule of business that says all people need profit from business, nor they will profit equally from the business system.

No rules exist that specify how the created profit will be distributed or even who will receive it.

All depend on your ability to take part in the "great game of business".

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Perceiving competition

Business: Is it a Game or a Co-operation/Co- existence?



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Introducing Business

Learning Outcomes

- I. Ability to view a business from several perspectives
- II. Ability to understand basis for business operations
- III. Ability to explain the evolution of business

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